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      name: <unnamed>
      log: C:\Users\Mr. Drakes\Dropbox\ECO 797\2025 797\ECO726_ResearchPaper_LogFile
> .smcl
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```

```

1 .
2 .
3 . use cps_00005,clear

4 .
5 . **Generate new variable; post 1975 (after the implementation of the EITC)
6 .
7 . generate post_1975 = 0

8 .
9 . replace post_1975 = 1 if year > 1975
   (385,502 real changes made)

```

```

10. *****
11.
12. **Tabulate Nmothers
13.
14. tab nmothers

```

number of mothers in household	Freq.	Percent	Cum.
0 mothers or niu	125,638	23.35	23.35
1	390,780	72.64	96.00
2	20,936	3.89	99.89
3	577	0.11	100.00
4	19	0.00	100.00
Total	537,950	100.00	

```

15.
16. **Create variable allowing for mothers to be the treatment group
17.
18. gen treated = 0

19.
20. replace treated = 1 if nmothers > 0
   (412,312 real changes made)

21. *****
22. ** Create Difference-In-Differences variable
23.
24. gen did_variable = treated*post_1975

25. *****
26. **Tabulate employment status and create dummy variables to separate employed from un
   > employed mothers
27.
28. tab empstat, generate(employed_dummy)

```

employment status	Freq.	Percent	Cum.
at work	292,976	54.46	54.46
has job, not at work last week	12,271	2.28	56.74
unemployed	47	0.01	56.75
unemployed, experienced worker	24,901	4.63	61.38
unemployed, new worker	1,379	0.26	61.64
nilf, housework	168,226	31.27	92.91
nilf, unable to work	2,169	0.40	93.31
nilf, school	24,785	4.61	97.92
nilf, other	11,196	2.08	100.00
Total	537,950	100.00	

```

29. ** Add other employed mothers who didn't work last week
30.
31. generate employed = 0

32. replace employed = employed_dummy1 + employed_dummy2
    (305,247 real changes made)

33.
34. **Run DID regression with employed variable with new qualities
35.
36. didregress (employed) (did_variable), group(treated) time(year)

```

Number of groups and treatment time

Time variable: **year**
Control: **did_variable = 0**
Treatment: **did_variable = 1**

	Control	Treatment
Group		
treated	1	1
Time		
Minimum	1971	1976
Maximum	1971	1976

Difference-in-differences regression
Data type: Repeated cross-sectional

Number of obs = **537,950**

(Std. err. adjusted for **2** clusters in **treated**)

employed	Coefficient	Robust std. err.	t	P> t	[95% conf. interval]	
ATET did_variable (1 vs 0)	.0277429	.0000862	321.98	0.002	.0266481	.0288378

Note: ATET estimate adjusted for group effects and time effects.

```

37.
38. **Run trendplots for graphical representation
39.
40. estat trendplots

41.
42. **Run a test for parallel trends
43.
44. estat ptrends

```

Parallel-trends test (pretreatment time period)
H0: Linear trends are parallel

F(1, 1) = **5.10e+06**
Prob > F = **0.0003**

```

45.
46. **Conduct a Granger causality test
47.
48. estat granger

```

Granger causality test
H0: No effect in anticipation of treatment

F(0, 1) = .
Prob > F = .

```

49.

```